

Rakesh Sharma v. State of U.P.

Allahabad High Court · Division Bench · 10 September 2014 · Writ-C No. 48456 of 2014 · Writ-C No. 48456 of 2014 · **Demand notice quashed; fresh provisional assessment with hearing directed**

HEADNOTE

After a theft raid and compounding, the licensee treated an unserved provisional assessment as final and issued a Section 3 recovery demand. The Division Bench held that want of service deprived the consumer of the right to object. Following *Ashok Kumar on Electricity Supply Code, 2005* theft-assessment procedure, it quashed the demand and directed a fresh served provisional assessment, time to object, a hearing, and a reasoned final order.

FACTUAL SUMMARY

A surprise raid at the petitioner's premises found theft of electricity by connecting a cable bypassing the meter. He paid Rs.10,000 as compounding charges. The licensee made a provisional assessment dated 26 May 2014 and sent it by speed post; it returned unserved with an endorsement that the residence was locked. No objection was filed. The assessment was treated as final, and a demand notice dated 21 July 2014 under Section 3 of the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958, seeking Rs.36,630, was issued. He challenged that notice.

REUSABLE CONSTRUCTIONS

1. An unserved provisional assessment in a theft case cannot be treated as final; the consumer must be served and given time to object and a hearing before a reasoned final assessment under the Electricity Supply Code, 2005. ¶ 4-6
2. A recovery demand under Section 3 of the U.P. Government Electrical Undertakings (Dues Recovery) Act, 1958, founded on such an unserved assessment is liable to be quashed, with the assessment redone after service, objection and hearing. ¶ 4-6

HOLDING-UNITS

HOLDING-UNIT · UP-2005::theft-assessment

theft assessment — service of provisional assessment

HOLDING

Where the provisional assessment for theft of electricity is not served, treating it as final and issuing a Section 3 Dues Recovery demand is unsustainable. The licensee must issue a fresh provisional assessment, serve it, allow fifteen days to object, fix a date for hearing, and then pass a reasoned final assessment after considering any objection, in light of the Electricity Supply Code, 2005 as explained in *Ashok Kumar*. ¶ 4-6

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — MERITS AND QUANTUM OF THE THEFT ASSESSMENT

Remitted for fresh provisional assessment, service, objection, hearing and reasoned final order. ¶ 6

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Ashok Kumar v. State of U.P.</i> 2008 (6) ADJ 660 (DB)			5-6	Referred

